Micron Technology, Inc.

MU NASDAQ

Buy	$691.17 ▲ 5.30%	12M Price Target	52-Week Range	Market Cap
		$850.00	$192.59 – $1255.00	$782.01B

MU: Memory Selloff Overdone, AI Demand Still Real

WHAT HAPPENED

- MU got absolutely hammered yesterday — down ~17% from Monday's $855 high to $656 — and bounced 5% today to $691. The Motley Fool piece ("Why Micron Stock Is Up Today") suggests the rebound is tied to the jobs report (165K jobs added, better than feared) which calmed recession worries and brought buyers back to beaten-down chip names.
- GuruFocus flagged MU as "the cheapest chip stock right now" — that's the bull case forming in real time: after the puke, forward P/E (price-to-earnings, what you pay per $1 of future profit) is suddenly reasonable again in a sector where everything else still trades rich.

WHY IT MATTERS

This week's chip bloodbath (Qualcomm having its worst day since 2020, the leveraged ETF unwind Barron's wrote about) was more about positioning than fundamentals — meaning traders using 3x leveraged semi ETFs got margin-called and had to dump, which exaggerated the drop. That's usually a buying opportunity, not a warning sign, because the underlying AI memory demand story (HBM chips going into every Nvidia GPU) hasn't changed. The options flow tells you to be careful short-term though — the put/call ratio of 1.19 and heavy put buying at $700/$710 strikes means big money is hedging against more downside this week. Translation: the bounce might not hold until we get through next week's chip earnings cycle, but the 6-12 month setup looks attractive if you can stomach the whipsaws.

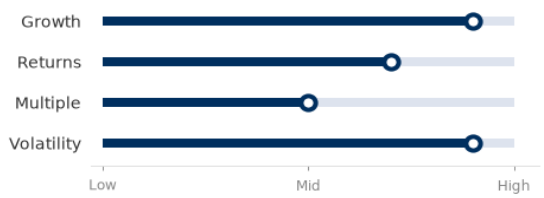
POLICY & POLITICAL WATCH

The CHIPS Act remains the single biggest policy tailwind for MU — they've been awarded roughly $6.1B in direct funding for Idaho and New York fabs, and any attempt by the current administration to claw back or renegotiate those grants is the real risk to watch. On the flip side, escalating US-China export controls on advanced memory (HBM in particular) actually *helps* MU because it kneecaps Chinese competitor CXMT and locks in pricing power. Keep an eye on the Commerce Department's updated semiconductor export rules expected this quarter — tighter rules = more MU pricing power, any softening = headwind.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$691.17**
12M Price Target	**$850.00**
Upside / (Downside)	**+23.0%**
Market Cap	**$782.01B**
FY2026E Revenue	**$58,000M**
FY2027E Revenue	**$78,000M**
FY2026E EPS	**$42.50**
FY2027E EPS	**$62.00**
Fwd P/E	**16.3x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$780.00**	$720.00	**$600.00**
6 Months	**$950.00**	$820.00	**$550.00**
1 Year	**$1150.00**	$850.00	**$500.00**
2 Years	**$1400.00**	$1000.00	**$450.00**
5 Years	**$2000.00**	$1300.00	**$400.00**
10 Years	**$3000.00**	$1800.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+5.68% 5D) and Consumer Discretionary — money is flowing to AI-adjacent names with clearer earnings visibility (ad-driven and consumer AI plays) while semis take a breather.

COOLING OFF: Energy (-11.64% 5D) is getting crushed on softening oil demand, and Tech (-7.90% 5D) just saw the chip-driven unwind. The tech cooldown is positioning, not fundamentals.

ROTATION WATCH: Money rotated violently OUT of leveraged semi positions this week and INTO defensive growth (comm services, healthcare). Watch for it to rotate back into semis once the forced-selling finishes — that's typically a 1-2 week process.

RELATED PLAY: If you believe memory stays tight, the equipment makers (Lam Research, Applied Materials) benefit as MU and peers expand capacity — they're the "picks and shovels" of the memory buildout.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Holding up better than peers because custom AI chip revenue is more visible — hyperscalers have signed multi-year deals.
- NVDA (Nvidia): Still the AI king and the stock the market trusts most — relative strength in a sector sell-off tells you institutional money isn't abandoning AI, just rotating within it.

MU CONTEXT: MU is lagging — it was one of the biggest losers this week, which makes sense because it's the highest-beta memory name and gets hit hardest in leveraged-ETF unwinds. That lag is actually the opportunity: when positioning resets, the beaten-down names often lead the bounce.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — The structural AI memory story is intact and valuation just got reset, but near-term options positioning says expect more chop.

POSITION SIZE: 3-5% of portfolio — real upside but memory stocks can cut you in half in a bad cycle, so size for volatility.

ENTRY POINTS: Scale in between $640-680 — if we revisit yesterday's $656 low, that's your spot. Don't chase above $720 this week.

TIME HORIZON: 12-24 months — the catalyst is MU's December earnings print and 2027 HBM pricing commentary from hyperscalers.

WHEN TO BAIL: If any hyperscaler cuts 2027 capex guidance, or if MU's HBM revenue misses by 15%+, cut it. Also bail if CHIPS Act funding gets renegotiated.

HEDGING: Simplest hedge — buy a small put spread on SOXL (the 3x leveraged semi ETF), because if semis crack again, SOXL falls 3x faster than MU. In plain English: a small insurance policy that pays off if the whole chip sector takes another leg down.

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